

Equity Research Note | Infosys Ltd.

Recommendation	Fair Value Per Share	Current Price	Implied Return
HOLD	₹1,000.85	₹1,035.00	-3.3%

Investment Summary

We initiate coverage on Infosys Ltd. with a **HOLD** recommendation and a DCF-derived intrinsic fair value of **₹1,000.85** against a current market price of ₹1,035.00 (**-3.3% variance**). Because the stock trades efficiently within a narrow $\pm 5\%$ corridor of its fundamental value, baseline outputs indicate fair market pricing rather than a clear mispricing edge.

Furthermore, sensitivity analysis highlights that minor shifts in core variables, such as revenue growth or equity risk premium, easily swing the valuation outside this threshold, underscoring a fragile rating and supporting a disciplined hold stance.

Key Assumptions

Key Assumption	Value	Basis
Risk Free Rate	7.2%	Market: 10-year Indian G-Sec yield as of 1 October 2026
Equity Beta	0.90	Judgement: Assumed plausible figure for large-cap IT services
Equity Risk Premium	6.0%	Judgement: Conventional working figure for the Indian market
Terminal Growth Rate	4.5%	Judgement: Conservative perpetuity rate below the 7.2% risk-free ceiling
Revenue Growth	8.0%-6.5%	Judgement: Reported rupee growth, guidance is 1.5-3% in constant currency
EBIT Margin	21.0%	Data: Midpoint of the 20%-22% band
D&A/Capex/NWC	2.7% / 3.5% / 13.2% of revenue	Data and judgment. D&A and NWC at FY26 levels; capex set above D&A

Valuation & Sensitivity Grid

Enterprise-to-Equity Bridge:

Discounting 5-year FCF (₹108,841 Cr) and Terminal Value (₹262,158 Cr) yields an Enterprise Value of ₹370,999 Cr. Adding cash and investments (₹44,081 Cr) and subtracting borrowings (₹9,176 Cr) results in a total Equity Value of ₹405,904 Cr, translating to an intrinsic fair value of ₹1,000.85 per share across 405.56 crore shares.

Sensitivity Grid:

WACC \ Terminal Growth	3.5%	4.0%	4.5%	5.0%	5.5%
10.4%	1,170.8	1,237.5	1,315.7	1,408.2	1,519.7
11.4%	1,031.0	1,079.7	1,135.4	1,199.8	1,275.2
12.4%	922.7	959.5	1,000.8	1,047.8	1,101.6
13.4%	836.4	864.9	896.6	932.0	972.0
14.4%	766.0	788.5	813.4	840.9	871.5